WEEK 6 · LECTURE L3 · UNITS I AND II

Course Correction Decisions

When to scale, correct, address resistance or hold: escalation of commitment, change fatigue, and resistance as information.

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AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

- Explain escalation of commitment and its determinants.
- Explain change fatigue and its effects.
- Evaluate resistance to change as information rather than obstruction.
- Choose between scaling, correcting, addressing resistance and holding.

COURSE OUTCOMES

CLO 2 (apply engagement strategies) and CLO 4 (analyze data and design interventions).

COMMIT BEFORE THEORY

Changing course three months into a new performance system shows the first decision was wrong.

Agree or disagree.

THEORY IN DEPTH · STAW (1976); SLEESMAN ET AL. (2012)

Why we stay too long

THE CORE IDEA

Decision makers keep investing in a failing course of action, especially when they chose it.

HOW IT WORKS

Personal responsibility raised further investment; Sleesman et al. found project, psychological, social and structural factors all sustain it.

LIMITS AND CRITIQUE

Persistence is sometimes right: the line between escalation and resolve is clear only in hindsight.

IN PRACTICE

A CHRO who launched a rating system defends it after two bad pulse results because changing it would look like failure.

EXAM LENS

Use it to argue for review points set in advance. Add Arkes and Blumer (1985) on sunk cost.

SUNK COST · ARKES AND BLUMER (1985)

Past investment still drives choices

THE FINDING

People continue an endeavor once they have invested money, effort or time in it.

THE DESIGN RESPONSE

Decide in advance what evidence would trigger a change, and who will judge it.

THEORY IN DEPTH · BERNERTH, WALKER AND HARRIS (2011)

Why we change too often

THE CORE IDEA

Change fatigue is weariness from too many changes in too short a time.

HOW IT WORKS

It related to lower organizational commitment and higher intention to leave.

LIMITS AND CRITIQUE

Measured by self report; fatigue may reflect how changes are managed as much as how many there are.

IN PRACTICE

A firm replaces its rating scale, then its goal tool, then its review cycle within a year; engagement falls.

EXAM LENS

Pair it with escalation of commitment: the answer is evidence based timing, not never changing.

READING RESISTANCE

Resistance is information

FORD, FORD AND D'AMELIO (2008)

Resistance can reveal flaws in a change, and is partly created by how change agents act.

OREG (2003)

Some resistance reflects stable individual tendencies, not the change itself.

KEY POINT

Before overcoming resistance, ask what it is telling you about the design.

COMPARE AND EVALUATE

Scale, correct, address resistance, or hold

Choice	Signal that supports it	Theory warning
Scale	Early results hold across segments	Regression to the mean
Correct	A specific mechanism is failing	Change fatigue
Address resistance	Concerns are concrete and shared	Do not dismiss information
Hold	Too early to judge; a lag is expected	Escalation of commitment

EXAM LENS

Deming (1986) treated improvement as a repeated cycle of planning, trying, checking and acting. Course correction is that cycle, not a failure.

PRACTICE FOR THE END TERM EXAMINATION

Questions to rehearse

"Persistence is a virtue in organizational change." Critically evaluate using escalation of commitment and change fatigue. **20 marks**

A strong answer: explains both; uses Staw, Sleesman et al. and Bernerth et al.; proposes review points set in advance; reaches a balanced view.

Employees resist a new performance system. Should HR overcome the resistance or learn from it? **20 marks**

A strong answer: uses Ford et al. and Oreg; distinguishes types of resistance; recommends a diagnostic process.

What is the sunk cost effect? **10 marks**

A strong answer: defines it; cites Arkes and Blumer; one workplace example.

CARRY THESE INTO THE EXAMINATION

Three things to remember

1. Set the evidence for changing course before you start
2. Too much change exhausts people; too little wastes evidence
3. Resistance can be the most useful data you get

SET READINGS · FROM THE LESSON PLAN

Read for this lecture

Rousseau, D. M. (1995). *Psychological contracts in organizations: Understanding written and unwritten agreements*. Sage. Introduction.

Mayer, R. C., Davis, J. H., & Schoorman, F. D. (1995). An integrative model of organizational trust. *Academy of Management Review, 20*(3), 709–734.

Schaufeli, W. B., & Bakker, A. B. (2004). Job demands, job resources, and their relationship with burnout and engagement: A multi sample study. *Journal of Organizational Behavior, 25*(3), 293–315. Reread for interpreting pulse data.

HOW TO USE THESE

These are the Week 6 set readings. They support the trust and data reasoning behind any course correction. The Lesson Plan also lists a synthesis review of Buckingham and Goodall (2015), Doerr (2018) and Cappelli and Tavis (2016); it is good revision for Unit I.

THEORY SOURCES · FOR REFERENCE

Sources for this lecture (1 of 2)

Works named on the slides of this lecture. They are background sources, not set readings.

Arkes, H. R., & Blumer, C. (1985). The psychology of sunk cost. *Organizational Behavior and Human Decision Processes, 35*(1), 124–140. https://doi.org/10.1016/0749-5978(85)90049-4

Bernerth, J. B., Walker, H. J., & Harris, S. G. (2011). Change fatigue: Development and initial validation of a new measure. *Work & Stress, 25*(4), 321–337. https://doi.org/10.1080/02678373.2011.634280

Deming, W. E. (1986). *Out of the crisis*. MIT Center for Advanced Engineering Study.

Ford, J. D., Ford, L. W., & D'Amelio, A. (2008). Resistance to change: The rest of the story. *Academy of Management Review, 33*(2), 362–377. https://doi.org/10.5465/amr.2008.31193235

Sources for this lecture (2 of 2)

Oreg, S. (2003). Resistance to change: Developing an individual differences measure. *Journal of Applied Psychology, 88*(4), 680–693. https://doi.org/10.1037/0021-9010.88.4.680

Sleesman, D. J., Conlon, D. E., McNamara, G., & Miles, J. E. (2012). Cleaning up the big muddy: A meta analytic review of the determinants of escalation of commitment. *Academy of Management Journal, 55*(3), 541–562. https://doi.org/10.5465/amj.2010.0696

Staw, B. M. (1976). Knee deep in the big muddy: A study of escalating commitment to a chosen course of action. *Organizational Behavior and Human Performance, 16*(1), 27–44. https://doi.org/10.1016/0030-5073(76)90005-2